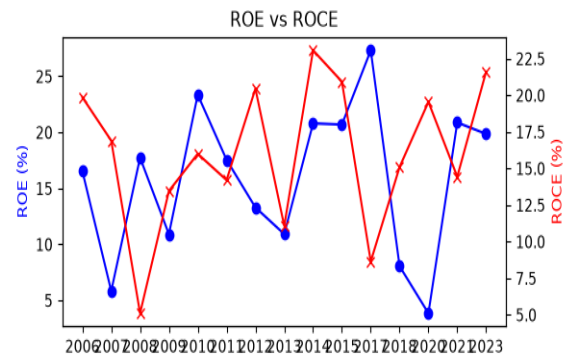
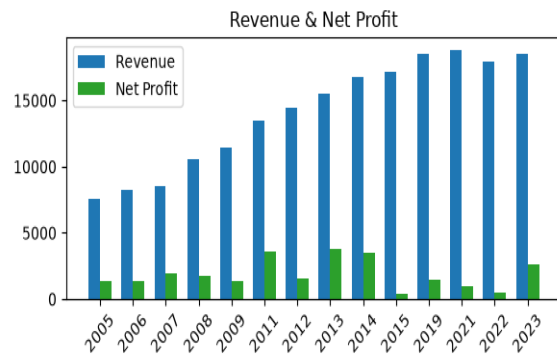
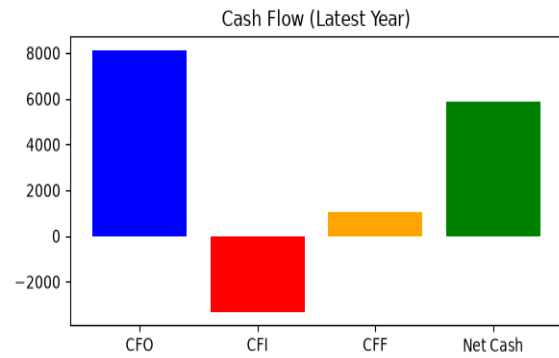
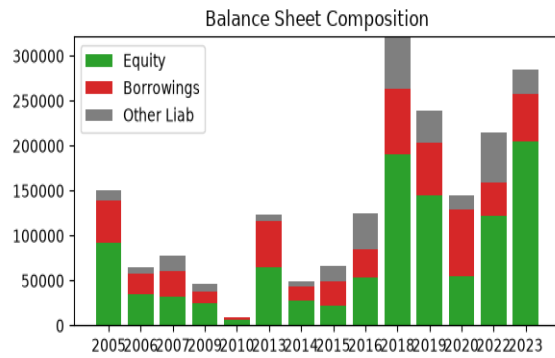


# Bajaj Auto Ltd (BAJAJAUTO)

|         |                |            |               |     |       |
|---------|----------------|------------|---------------|-----|-------|
| Revenue | Rs. 18473.8 Cr | Net Profit | Rs. 2642.8 Cr | OPM | 28.8% |
| ROE     | 19.8%          | ROCE       | 21.6%         | D/E | 2.87  |





## Capital Allocation Pattern: Value

### Pros:

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Consistent dividend yield above 2% backed by positive free cash flow
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Growing asset base funded by internal accruals reflects self-sustaining growth

### Cons:

- Debt-to-equity ratio of 2.9 is elevated for a non-financial company and warrants monitoring
- Dividend payout ratio above 100% means the company is paying dividends from reserves, which is unsustainable
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- Revenue growing at below 5% over 5 years lags inflation and suggests limited business momentum